Financial Analysis:

Revenue and Margins

- Outline revenue growth rate, explain major increase/decrease
- Outline net profit and net profit margin
    - Net profit margin over 10% is good
- Talk about revenue streams
- If comparable interims are available, can talk about growth rate
- EBITDA margin over 10% is good.
    - Explain if under 10% for a particular year
    - Increasing EBITDA shows strong operational profitability
    - Mention costs repassed
        - Ie. Compare operational expenses and see which have been able to stay the same YoY while revenues increase
- Look to see if interest payments have increased

FCCR

- Should be over 1X mark
- If under, this may raise concerns regarding the client's ability to cover its fixed costs
- Bad FCCR can be mitigated with a down payment or PG support
- Note if inflated due to financials not reporting CPLDT

Liquidity

- Current ratio should be over 1X
    - If under, this may raise concerns regarding the client's ability to cover its short term expenses
- Working capital (current assets-current liabilities)
- LOC availability and utilization
    - Note utilization YoY if available
        - Ie. If a company had $500K available in 2023 vs $1M available in 2024. This is good as they repaid their revolving facility and improve liquidity

    - If group of companies, is LOC available to the whole group?
- Cash on hand
    - If little to no cash reported on FS, ask for bank statements or explanation on where cash is being held - cash reserve? Related company?
        - This affects working capital and current ratio
- Liquidity coverage ratio should be over 1X which
- Talk about bank statements if available
- Overdraft protection limit if negative balances on BS
- If refinancing, they will be able to inject working cap into their business and improve liquidity
- Note client's main source of liquidity (cash, AR, LOC, asset sales)
- Can note major cash purchases

Leverage

- Debt to equity ratio shouldn't exceed 3
- Talk about growth % in debt
- Senior funded debt - better to decrease this amount
    - If significant increase or decrease, explain why/how
- If it is a rental house, company adds equipment to keep fleet young so it makes sense to add debt
- Highly leveraged company can also be mitigated by cash down?
- Note if highly leveraged but actively deleveraging by reducing SFD
- Equity vs TNW - note if TNW is lower than equity and why (for example, goodwill or investments)

4Bloc:

Company & Situation

- Business description
- Talk about management

    - If the customer hasn't been in business for a while talk about what they did prior and for how long
    - Project, experience, ownership %
- Office vs yard address
    - Do they own these locations
- Website
- Fleet size
- Related parties & description of each
- Vendor, structure, request

Key Considerations/Transaction Rationale

- Talk about commercial lending experience
- Character: TIB
- Top customers
    - AR and AP list
        - Look at top customers based on balance
        - Example, if 80% of revenue is coming from 1 customer, this can be a negative if they lose that customer
        - See if top customers are big in the market
- TNW vs ask
- Contracts - renewal? Addition?
    - Talk about projects completed under transaction rationale
- Industry -/+
- Relationship with vendor
- UNL
- Quality of financials
- Financial results (liquidity/profitability/tnw)
- Always include mitigants under key considerations

Other info:

- Org chart if over $1M exposure
- Related parties
    - Good to have their CG
    - Note if money is moving around related parties under FS analysis
    - Give a description of each relco under 4B company & situation section
- WIP
    - See it often in big construction companies
    - Estimation of the work being done without being invoiced but counts as revenue
    - Which contract? Which customer? Risk you won't get paid?
- Good to prove strong cash position with bank statements

15.8 Spreads Template

INCOME STATEMENT	
Sales	
	Δ%
COGS	
	%
Gross Profit	
	%
SG&A	
	%
EBITDAR	
	%
EBITDA	
	%
D&A	
	%
Net Profit	
	%
Taxes	
Interests	
CPLTD	
CP Proposed (P+I)	
Total Fixed Charges	
FCCR	
Dividends	
Unfunded capex	
Other adjustments	
FCCR adjusted	

- **Financial Quality:**

- **NTR, Reviewed, Audited**. (NTR likely provides minimal info, might need to substantiate some of the numbers i.e., bank statements.)

- **Consolidated financials** for the group of companies, or just financial results for a single entity.

- **Revenue and Margin:**

  - How are they making money, sales/other, income/rental?
  - **Sales trend and margins** - provide explanation regarding significant changes. Top clients and any concentration.
  - **Operating income vs net income**, any income from investment activities or others (e.g., disposition of fixed assets)
  - **Components of COGS**, subcontractors? (Transportation or construction) **Purchases (**manufacturer, retailer)
  - **Any revenue/expenses between related parties**, which should be eliminated when we do financial consolidation.

LIQUIDITY
Current Ratio
Adjusted Current Ratio
AR Turnover (days)
AP Turnover (days)
Inventory Turnover (days)
CCC (days)
Cash on hand
Revolver usage ($)
Revolver Limit
Revolver usage (%)
Theorical Borrowing base

- **Liquidity :**

- **Cash on hand, Operating line** (max limit, current utilization, covenants compliance, tolerance letter required if not)

- **A/R aging list** - percentage of current and past due, good quality clients, diversification, or concentration.

- **FCCR:** need to be consistently over 1. Ensure calculated properly including debt obligations. See Appendix (ratio calculation).

LEVERAGE
SFD
Op Leases
SFD + Op Leases
Jr debt/Rel. co debt
Intangible assets
Equity
TNW
Ajusted TNW
SFD / EBITDA
SFD+Op Leases / EBITDAR
Total debt / TNW
Adjusted leverage

- **Balance Sheet/Leverage:**
  - **TNW Calculation**. TNW to MHCCA-MHCCL investment. Intangibles?
  - **Assets/TNW** consist of? – Cash/A/R/Inventory/Equipment/Property
  - Any **off- balance sheet asset** (Assets Book value vs Market value).
  - Total **debts obligation & retirement summary**? Consists of shareholder debts.
  - Two **leverage ratios of D/TNW and SFD/EBITDA** (prefer below 3.5, might be higher for start-up or young companies). Any mitigants for high leverage: PG of owner who possess decent PNW, injected shareholder loans; CG of rel. Co has good equity.
- **Mitsubishi HC Capital case** should be based on realistic sales figure and EBITDA margins. Impact of requested equipment should be reasonable and even a bit conservative. Review historical results and trends, not one-time exception.
- **Interim** performance/ year over year analysis / quality of prep (e.g., Amortization, interests)

Construction	Forestry

• In operation since when?
• Who is the short-term lender?
  o What is the approved limit?
  o What is the most recent balance?
• Do they have a revolving facility in addition to the operating line of credit?
• Is the funding intended to replace or supplement the park?
• Main activities: (excavation, crushing, snow removal, demolition, Civil Eng.....)
  o If it is a mining subcontractor, is its equipment underground? Is there a ramp (possible recovery)?
• Park size:
• Key customers:
• How often are they paid?
• Detailed work in progress
• Pipeline/projections:
  o Long-term work?
  o Procurement?
  o Contracts awarded or opportunities.
• Who is the surety company?
• Seasonal cash flow?
  o Interest payments only needed.
• Visit the premises?
  o If not, you will need a satisfactory photo from Google Street View and a copy of utility bills (electricity, telecommunications, etc.).
	• In operation since when?
	• Who is the short-term lender?
	  o What is the approved limit?
	  o What is the most recent balance?
	• Is the funding intended to replace or supplement the park?
	• Key customers:
	  o Since when?
	  o Name of sawmill
	  o Short wood or long wood?
	  o Private or public land?
	• How often are they paid?
	• How many cubic meters per year?
	  o How much is the average revenue per cubic meter?
	  o What are the average costs per cubic meter?
	• Where are the machines located?
	• Need an interest payment only during the off-season?
	• Full integration? Harvesting, logging, transportation, shipping
	• Park size:
	• Pipeline:
	  o Long-term work?
	• Visit the premises?
	  o If not, you will need a satisfactory photo from Google Street View and a copy of utility bills (electricity, telecommunications, etc.).

Always ask for:

1. Full financials including notes (3 years)
2. Interim statements
3. AR and AP listings (if over $1M)
4. Confirmation of operating line and balance
5. Org. chart (if group of companies)
6. Are they taking on a new contract? Do they have any active contracts?
7. What are the projected revenues for the year?
8. 3 months bank statements to show current balance and cash flows (especially if cash balance is declining YoY)

Need a strong top left quadrant (KYC)

WIP

- See it often in F/S of big construction companies
- Estimation of the work being done without necessarily being invoiced but counts as revenue
- Ask questions – which contract? Which customer? Risk you won't get paid?